

MAJOR CONTRIBUTORS TO THIS REPORT



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conductor fabrication facilities, and a ₹ 2 billion fund to help innovators and investors scale up inventions and develop products for the masses. "The announcement of grants (from a fund of ₹ 100 billion) from the government to youngsters taking up development courses at the National Skills Development Center is a welcome proposal and shall certainly create a huge talent pool for the electronics industry," he says.

Industry's suggestions to the government

At the Strategic Electronics Summit held in Bengaluru recently, ELCINA requested the government to take enough initiatives to ensure that the decision-making process is faster, as MNCs are unable to wait for so long. There are instances where it has taken four-five years from the proposal stage of a project to the contract-signing stage. In this process, a lot of extra costs are incurred due to the time over-run. Added to these woes is the devaluation of the rupee. All the quotes to the government, particularly related to Defence tenders, are in rupees and these need to be revalued periodically, making viability a huge challenge for entrepreneurs. The timeframe must be reduced to about six months for contract-signing, believes T. Vasu.

About 60 per cent of the products for the Defence market are imported, informs Dr K.D. Nayak. Reducing the percentage of imports can be possible only by involving the private sector.

He says, "The public sector industries are not able to completely handle the development as well as the production capacities. By including the private companies, imports can be reduced; also, manufacturing and jobs creation gets a boost. Higher growth as well as inclusive growth is ensured."

R&D, too, has to be given greater prominence, believes Dr K.D. Nayak. According to him, the government must take a decision on the question, "Can we think of reserving a minimum of 50 per cent of the capital acquisition for production of indigenously developed systems; maybe, we could start with 30 per cent and go to 50 per cent in a time-bound manner?" He points out that a country like France meets 70 per cent of its Defence requirements with indigenous production.

So why isn't it easy?

Speaking frankly, Col. K.V. Kuber says, "It's easier to export than to do (Defence related) business in India. The MoD (Ministry of Defence) is the single and only buyer of all Defence-related products, devices and systems, and is very difficult to please because the procurement procedures are such that there are a number of agencies that deal with just one procurement." He adds, "I don't know if these agencies can help you or not but they can certainly harm you. Exporting is not a bad idea. If a company is exporting Defence components, they are given higher preference than the companies that are not. There are some im-

pediments that Indian companies face when it comes to participating in MoD tenders."

Manjunatha Hebbar says, "Most of the time we hear of how good the aerospace and Defence industries are and the opportunities they present. But if you sit on the other side, for an entrepreneur, the big question is: Where does the new growth come from and how can one be part of it? That's the biggest question in everyone's mind. I've gone through this personally and as a part of the different companies I've worked with."

He believes that to be sustainable, partnerships between countries must be based on the uniqueness of each country's assets and achievements, rather than on access to the country, talent or capital. He says, "The list of technology areas that the country is interested in is huge and so there are a lot of opportunities but they are at a pretty high level. Translating them into action for an entrepreneur or a company from the private sector is a challenge, because long-term sustainability is a major factor that needs to be given a lot of thought." Investments and partnerships are the other factors that need to be considered. These aspects are very critical if one is drafting an execution plan for this particular market.

K.S. Desikan, chief financial officer, Centum Electronics Ltd, says "The Indian Defence market is a single buyer that follows a strict L1 system (the order is given to the vendor quoting the lowest price) for all purchases.